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MY TOP 10 INVESTMENT MISTAKES

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A Thread

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1. Tried to time the market.

When the stock market was rising, I waited for it to fall (but it kept rising). When the market was falling, I kept buying thinking this is the bottom (but it kept falling).

More than money, I lost my peace!



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Keep investing in a disciplined fashion.
Same date, every month, with your regular
income. And whenever you get a
lumpsum.

Over a long term, everything balances out.



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**2. Thought that buying more is
"diversifying."**

I invested more in the same space (be it startups, or real estate or the same industry stocks), thinking that I am diversifying.

But no!



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When you buy more of the same risk profile, that is establishing the risk. Not mitigating it. Invest across different risk profiles, if you care about diversifying.

Buy stocks across industries.

Invest in smallcases/mutual funds with different risk profiles

Buy (digital) gold.



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3. Did not have liquidity.

I continued to invest in startups and real estate, both of which you cannot sell when you need the money.

So when I needed the money, I did not have the money.

My wealth was notional!



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Always keep some part of your investments in liquid assets (stocks, MFs, smallcases, digital gold, high vol crypto coins).

Always have an emergency fund (invested in debt MFs or FDs) for 6 months
Always have insurance (Term+Health)



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4. Invested in penny stocks.

A friend told me about a stock worth Rs 1.4 – and said it would go upto Rs2 in a week.

I bought it.

And it went upto Rs.2 (50% return)

I sold.



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It fell to Rs.1

I bought again.

It never rose back!

Just because something is cheap doesn't
make it attractive to buy.

It is cheap for a reason!



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5. Invested with hope as a strategy.

When Jet Airways went bankrupt, it's stock was still trading. Everyday it used to fall and everyday I used to buy.

Because I was convinced that Jet Airways cannot shut down! Someone or something will save it.



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It ultimately shut down!

When investing for the long term, hope should be no more than 10% of your portfolio.

The rest 90% is belief, based on data.
And common sense!



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6. Did not cut my losses.

I bought a stock because of an investment thesis. But it did not work out.

And the stock kept falling.

I still did not sell.



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I did not stop my loss!

Sell when your value goes below your tolerance.

Even if you still believe in it.

If it sells further, you can buy it at that lower price.



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7. Invested instead of clearing my loans.

I had loans where I was paying 14% interest. But when I got any surplus money, I did not pay off that loan.

Instead, I invested. Thinking I would easily make more than 14% return.

It is not easy!



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Ideally pay off your loans, before investing.

If not possible, then any extra money you get, pay off the principal loan amount instead of investing that amount.

(Unless the loan interest rate is really low or you get some tax benefits ex: home loan)



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8. Applied my risk profile to my parents!

I am comfortable with a lot of risk in life.
So when I began to manage my parent's money, I treated it with the same risk appetite.

For me it was important to grow their money. For them it was important to protect their money. I failed!



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Assess your risk profile, before investing.

**The worst thing you can do is to pick
assets that do not match your risk profile.
Or to impose your risk profile on your
family!**



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9. Disregarded transaction costs.

When investing in real estate, I ignored the associated costs. The loan interest amount, the registration amount, the brokerage, the capital gain tax on selling.

All of which reduced the actual return I made.



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Taxes are real.

Expense ratio (in MFs) are real.

Brokerage fees are real.

Inflation is real.

Always calculate your expenses/
inflation-adjusted return to know what
you have truly made.



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10. Did not have fun while investing.

I panicked when markets tanked.

I stressed when I couldn't find buyers.

I felt FOMO when everyone else was buying. I felt stupid when people shared their year-to-date returns.

It felt I was working for investing. And not the other way round.



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Invest in a way that you do not lose your sleep.

If you are temperamentally not the person who can sustain a 10% single-day drop, don't buy that asset.

Nothing is worth your peace.



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There is a lot of talk about investment strategies and principles.

But one rarely focuses on how one's personality is tied to the investment choices one makes.

Realizing you are a certain type of person, when it comes to money, is a very important step towards right investing.



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I realized that rather late in life.

I was a disaster with money for the longest time I know.

I share these investing suggestions, not as an expert, but as someone who has learnt from the mistakes he made.



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**Investing your money, once done right,
can be one of the most fulfilling things you
do.**

**Because, money, in the hands of the right
people, is a good thing!**



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